

N.D.O.H.: - 16.09.2026

IN THE APPELLATE TRIBUNAL FOR ELECTRICITY, NEW DELHI
APPELLATE JURISDICTION
I.A. NO. 1097 OF 2026
IN
DFR NO. 274 OF 2026

IN THE MATTER OF: -

Himachal Pradesh State Electricity Board Limited

...Appellant

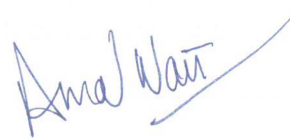
VERSUS

Himachal Pradesh Power Corporation Limited & Ors.

...Respondents

INDEX OF PAPERS

S. NO.	PARTICULARS	PAGES
1.	REJOINDER ON BEHALF OF THE APPELLANT TO THE REPLY FILED BY RESPONDENT NO. 1 TO THE INTERIM APPLICATION FOR STAY ALONGWITH SUPPORTING AFFIDAVIT.	2-16

FILED BY: -

(MSA PARTNERS)

ADVOCATES FOR THE APPELLANT

D-246, DEFENCE COLONY

NEW DELHI – 110024

DATED: 11.08.2026

PLACE: NEW DELHI

Himachal Pradesh State Electricity Board Limited ...Appellant

Himachal Pradesh Power Corporation Limited & Ors. ...Respondents

1. That the Appellant, Himachal Pradesh State Electricity Board Limited (“**HPSEBL**”), is filing the present Rejoinder to the Reply filed by Respondent No. 1, Himachal Pradesh Power Corporation Limited (“**HPPCL**”) in I.A. No. 1097 of 2026 opposing the Application for Stay of the impugned order dated 07.02.2026 passed by the Himachal Pradesh Electricity Regulatory Commission (“**State Commission**”) in Petition No. 24 of 2025.
2. It is submitted that the Reply filed by HPPCL is a selective and misleading narration of facts that deliberately glosses over the central issue, namely, that HPPCL has injected power into the grid without a validly executed Power Purchase Agreement (“**PPA**”), in the teeth of repeated objections from HPSEBL and the HPSLDC. HPPCL is accordingly seeking to benefit for this very indiscipline.

3. At the outset, it is stated that the averments in the Reply are denied in their entirety save insofar as those facts/averments that are expressly admitted herein. It is further stated that nothing contained in the Reply shall be deemed to have been admitted merely for want of specific traversal in the present Rejoinder. HPSEBL further craves to rely on the contents of the Appeal which may be read as part and parcel of the present Rejoinder.
4. For the sake of brevity, HPSEBL is filing an issue-wise Rejoinder to the Reply filed by HPPCL. HPSEBL however reserves its right to file a detailed para-wise Rejoinder if so required or if directed by this Hon'ble Tribunal at a later stage.

RE: SUPPLY OF POWER BY HPPCL WAS UNILATERAL AND UNAUTHORIZED

5. That HPPCL's substantial submission in its Reply is that the supply of power by it to HPSEBL was pursuant to an "*inter-se* understanding" arising from the Minutes of Meeting dated 24.01.2024 ("**MoM**"). This submission is *ex-facie* untenable in light of the provisions found in the Electricity, 2003, ("**Act**") and is refuted based on the submissions hereinafter.
6. It is stated that the MoM in question was merely a negotiation exercise pursuant to the State Commission's direction dated 29.11.2023 to arrive at a cost nearer to the SECI - determined national average cost. If the case of HPPCL is to be believed, it is stated that there would not have been any occasion for the parties to then seek approval and pursue execution of a PPA. The MoM was only for arriving at a consensus on the tariff. To contend that the agreement on the tariff by

HPSEBL would also mean that HPSEBL has agreed to be supplied with the power in absence of a PPA is misconceived.

7. As recorded in the Appeal, the meeting was a compliance exercise pursuant to the State Commission's directions and did not, as a matter of law or fact, constitute a concluded contract. More importantly, the very fact that the minimum tariff was subject to approval of the State Commission makes it clear that no enforceable agreement had crystallised between HPSEBL and HPPCL.
8. It is further stated that the State Commission's order dated 12.04.2024 itself directed execution of a formal PPA between HPSEBL and HPPCL within 15 days; the order dated 12.04.2024 also explicitly provided that in the event the tariff was not acceptable, HPPCL was at liberty to sell power in the open market through exchanges. It is stated that HPPCL was not content with the tariff as approved by the State Commission and instead of selling it in the open market, deliberately delayed execution of the PPA.
9. It is stated that despite the tariff approval order directing execution of a PPA, HPPCL delayed execution of the PPA but simultaneously and unilaterally injected power into the grid. The conduct of HPPCL is of some relevance. It is stated that perhaps the tariff determined by the State Commission was not conducive to HPPCL therefore on the one hand it was avoiding execution of the PPA so as to not be bound by any tariff and on the other hand was pushing power without any authorization so as to develop a claim later on. This cannot be allowed.
10. It is stated that HPPCL is conveniently glossing over the fact that the Appellant had consistently, through multiple written communications

from June, 2024 to December, 2024 informed HPPCL that no power was being scheduled by HPSEBL as no valid PPA existed between the parties. In fact, the State Commission has returned clear findings on the fact that HPPCL had deliberately delayed execution of the PPA. Having not challenged the impugned Order, the findings on delay in executing the PPA have become final.

11. Additionally, the HPSLDC *vide* letter dated 25.06.2024 had independently conveyed the same position to HPPCL. Notwithstanding, HPPCL persisted in injecting power in spite of repeated and unequivocal communications. Therefore, it is stated that such injection of power by HPPCL, in the teeth of explicit objections, cannot be characterized as anything other than unilateral and unauthorized.
12. It is stated that the State Commission itself found, as recorded in its order dated 24.08.2024 in Petition No. 109 of 2024, that the matter had been deferred on one pretext or the other without any tangible outcome and that HPPCL had sufficient time to execute the PPA after the conclusion of the Lok Sabha elections but failed to do so. This is without prejudice to fact that absence of a particular officer can never be a ground to condone delay in execution of PPA.
13. It is stated that the afore-stated observations of the State Commission establish that no validly executed PPA or “*mutual understanding*” (as HPPCL has sought to put it) existed between the parties so as to create payment liability on HPSEBL. Such facts cannot be wished away by HPPCL.

14. In view of such unique facts and circumstances, it is categorically submitted that HPPCL's reliance on the judgment in Tamil Nadu Generation and Distribution Corporation Limited v. M/s Penna Electricity Limited and Bangalore Electricity Supply Company Limited v. Reliance Infrastructure Limited and Ors. is misconceived. It is stated that the ratio of the decision in the said cases do not apply to the facts of the present case and the Appellant craves leave to distinguish the same at the time of hearing.

RE: THE PPA EXECUTED ON 26.12.2024 IS THE ONLY BINDING INSTRUMENT

15. It is respectfully submitted that HPPCL has conveniently ignored the fact that the PPA finally signed on 26.12.2024 ("**executed PPA**") is the only instrument binding the parties. Moreover, the executed PPA is materially different from the draft PPA that was never executed.
16. Pertinently, the executed PPA categorically provides that billing for the supply of power would commence from the date of signing of the agreement and not from the date of synchronization. Clause 1.2(IV) of the executed PPA expressly defines the "*billing month*" as the period commencing from the date of signing of the agreement. HPPCL cannot ignore such facts in self-interest. The appeal deserves to be allowed on this ground alone.
17. It is submitted that the draft PPA, as annexed to the Joint Petition, provided for commencement of power supply and billing from the date of synchronization. However, the said condition does not feature in the final executed PPA. Thus, the very basis on which HPPCL has sought to be compensated was varied. It is not the case of HPPCL that the final PPA was executed under duress.

18. It is therefore submitted that the State Commission could not have, while approving the executed PPA on 26.12.2024, relied upon a materially different and unexecuted draft PPA to grant retrospective relief to HPPCL.
 19. Needless to state, in law, two PPA approvals cannot govern a single transaction simultaneously, and the approval of the executed PPA necessarily vacated any subsisting approval of the earlier draft.
 20. It is submitted that HPPCL's contention that the PPA was already initialed is misleading and legally innocuous. HPSEBL, *vide* letter dated 26.10.2024, had categorically communicated that the time for execution of the PPA had expired, that the PPA would be effective only from the date of signing, and that power generated prior thereto would not be governed by the PPA by way of retrospective operation. These are undisputed facts borne out by the record in the Appeal.
 21. Thus, the averments of HPPCL insofar as they pertain to right of recovery based on a draft, initialled, and unexecuted PPA are liable to be rejected.
- RE: HAVING REJECTED THE SCHEDULING OF POWER, HPSEBL HAS NO LIABILITY TO PAY**
22. It has been contended by HPPCL that the HP-ALDC, and not the Appellant, had sent emails objecting to scheduling. It is respectfully submitted that this distinction is without a difference.
 23. Further, it is a material admission on the part of HPPCL that there were indeed objections to the scheduling of the power. This admission is crucial to the *lis* at hand.

- 24.** The HP-ALDC is the Area Load Despatch Centre operating within the State system and is governed by duties and functions enumerated under the Act. Neither the Appellant nor the HPSLDC ever scheduled the power from HPPCL's Project during the disputed period. The HPSLDC had specifically averred before the State Commission that the Project was not registered with it as a separate generating entity and that no scheduling was being carried out. This position is further borne out by Annexure - Q to the Appeal.
- 25.** It is reiterated that electricity scheduling is a statutory prerequisite for power procurement under the Electricity Act, 2003 and the applicable Regulations. In the absence of scheduling, no procurement can be said to have taken place, and consequently, no payment liability could have arisen against HPSEBL.
- 26.** It is also necessary to state that HPPCL's attempt to conflate physical injection of power into the grid with scheduled, contracted procurement is legally untenable. HPSEBL had never sought or scheduled the said power, therefore any injection was unilateral and unauthorised without any commensurate payment liability.
- 27.** That HPPCL has additionally sought to argue that no DSM charges were levied on it, and therefore the power stands accounted for in HPSEBL's drawl schedule. It is submitted that such an assertion is circuitous and speculative. Merely because HPPCL has not been penalized under another provision, does not legitimize the unauthorized acts on the part of HPPCL.

RE: SECTION 70 OF THE INDIAN CONTRACT ACT HAS NO APPLICATION IN THE PRESENT FACTS

28. In its Reply, HPPCL has sought to invoke Section 70 of the Indian Contract Act, 1872 to fasten retrospective payment liability upon HPSEBL. This is misconceived and untenable.
29. It is submitted that Section 70 applies only where a person lawfully does something for another without intending to do so gratuitously. This is not the case in the present appeal. The very argument of the Appellant is that the act done by HPPCL was unlawful.
30. In the present facts, HPPCL's injection of power in the absence of a PPA, against the express repeated objections of HPSEBL, HPSLDC and HP-ALDC, and without any scheduling, was not a lawful act within the meaning of Section 70. It is stated that HPPCL cannot seek to benefit from its own wrong.
31. It is stated that HPSEBL is a statutory distribution licensee operating under the Electricity Act, 2003. Its obligations arise from the Act, regulations framed thereunder, and duly approved PPAs. As such, the principles of equity and quasi-contract under Section 70 cannot be applied to override the statutory framework governing a regulated entity.
32. It is reiterated that the State Commission erred in invoking Section 70 to regularize what was, in effect, an unsolicited and unauthorized injection of power into the grid by HPPCL.

**RE: HPSEBL'S LETTER DATED 16.04.2024 DOES NOT IMPLY
CONSENT OR DIRECTION TO SUPPLY**

33. In its Reply, HPPCL has placed undue reliance on HPSEBL's letter dated 16.04.2024 certifying synchronization of the Project and recommending trial run. This letter, as expressly stated in the Appeal, was confined to the technical aspect of synchronization and had nothing to do with the contractual supply of power. The contention of HPPCL that the said letter was a direction to HPPCL to commence supply is wrong and denied.
34. It is stated that commercial operation of the Project and the contractual obligation to purchase power are two legally distinct concepts. The grid connection was established under the Connection Agreement dated 31.07.2023, which is an instrument entirely separate and distinct from the PPA.
35. It is stated that certifying synchronization does not amount to consenting to purchase of power or accepting any payment obligation absent a valid PPA. Moreso, when the final executed PPA has no reference to synchronization for the purposes of billing or commencement of power supply.
36. It is also relevant to mention that HPSEBL cannot be said to have approbated power supply merely by not disconnecting the Project from the grid. HPSEBL had no authority to arbitrarily disconnect the Project under the Connection Agreement. Thus, the continued connectivity of the Project pursuant to a separate Connection Agreement cannot be construed as acceptance of or consent to commercial power supply.

RE: HPPCL DELAYED EXECUTION OF THE PPA

37. It is stated that HPPCL's attribution of delay in PPA execution to HPSEBL in the Reply is contrary to the record. The factual timeline in the Appeal unambiguously establishes that. It is stated that the State Commission has arrived at a clear finding that HPPCL had deliberately delayed execution of the PPA. Such finding has been accepted by HPPCL. In fact, the finding of delay in execution of the PPA is crucial to the issue at hand.
38. It is stated that HPPCL filed Review Petition No. 110 of 2024 on 01.07.2024 seeking reconsideration of the approved tariff of Rs. 2.90 per unit, which demonstrates that HPPCL's reservation regarding the tariff was the real reason for its deliberate non-execution of the PPA.
39. On 07.09.2024, instead of executing the PPA as directed, HPPCL proposed an interim Short-Term PPA for one year. This proposal was *ex-facie* contrary to the State Commission's order mandating execution of a long-term PPA. All this was so that HPPCL is not bound by a tariff not of its liking.
40. On 22.10.2024, for the very first time, HPPCL approached HPSEBL to sign the PPA in accordance with the State Commission's order dated 12.04.2024, i.e., more than six months after the initial 30-day deadline and six weeks after the extended deadline of 09.09.2024.
41. The State Commission's own order dated 24.08.2024 held that there was sufficient time with HPPCL to implement the order and sign the PPA, but the matter had been deferred on one pretext or the other without any tangible outcome.

42. It is stated that HPPCL cannot simultaneously resist execution of the PPA, challenge the approved tariff by way of a Review Petition, propose alternative short-term arrangements, and then claim retrospective tariff for power injected during the very period of its own deliberate non-compliance.
43. It is thus submitted that the impugned order, by granting relief to HPPCL in these circumstances rewards indiscipline and sets a dangerous precedent whereby any generating company may unilaterally inject power into the grid without a PPA and thereafter claim retrospective tariff under the guise of Section 70.
- RE: HPSEBL HAS ESTABLISHED BALANCE OF CONVENIENCE AND IRREPARABLE INJURY FOR THE GRANT OF STAY**
44. HPPCL's assertion that HPSEBL has failed to establish balance of convenience and irreparable injury is without any merit.
45. As contended hereinabove, the impugned order directs payment for power supplied during the disputed period without any validly executed PPA. It is submitted that any amount paid by HPSEBL pursuant to the impugned order will necessarily be passed on to the consumers of Himachal Pradesh by way of higher tariffs. Once such burden is transferred to consumers, it cannot be undone even if this Hon'ble Tribunal ultimately sets aside the impugned order.
46. It is also necessary to add that HPPCL's assertion that recovery of the paid amount is possible through deductions from future invoices under the executed PPA is entirely speculative.

47. Given that the dispute concerning the pre-PPA period remains live and pending adjudication, future deductions, even if permissible, would only end up creating further disputes and litigation between the parties. It is reiterated that the financial burden on consumers in the interim is a matter of public interest that weighs heavily in favour of grant of stay.
48. On the other hand, HPPCL will not suffer any irreparable prejudice from a stay. The amounts claimed by HPPCL are quantified and recoverable, and HPPCL being a State Government Entity, its ability to recover amounts in the event the stay is vacated is not in doubt. The balance of convenience is, therefore, clearly in favour of HPSEBL.

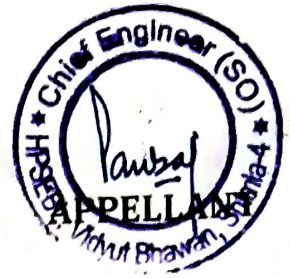
RE: MISCELLANEOUS

49. It is denied that HPSEBL has in any manner benefitted from the injection of the power by HPPCL. It is stated that any power injected in the state grid can be utilized towards maintaining grid frequency or adjusting over/under draws and injections etc. Thus, it cannot be that the power injected by HPPCL was sold by HPSEBL to the consumers ensuring recovery by way of tariff.
50. It is stated that the provisions of the NCES or HPERC Electricity Grid Code are not applicable to the facts of the present case when the entire injection of power was unauthorized to begin with.
51. In view of the above submissions, it is most respectfully prayed that this Hon'ble Tribunal may be pleased to reject the Reply filed by Respondent No. 1 and allow the application for stay of the impugned order dated 07.02.2026 passed by the Himachal Pradesh Electricity Regulatory Commission in Petition No. 24 of 2025.

DATED: 11.8.2016

PLACE: Shimla

ATTESTED
NOTARY PUBLIC
Himachal P.R. INDIA



**IN THE APPELLATE TRIBUNAL FOR ELECTRICITY AT NEW DELHI
APPELLATE JURISDICTION
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IN
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IN THE MATTER OF:

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Versus

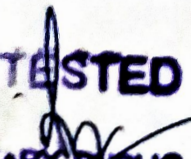
Himachal Pradesh Power
Corporation Limited and Ors.

...Respondents

AFFIDAVIT IN SUPPORT OF THE REJOINDER

I, Er. Pankaj Sharma, S/o. Sh. Ram Rattan Sharma, aged about 51years, resident of village Ghugrar P.O. Chandpur Tehsil Sadar District Bilaspur HP-174004do hereby solemnly affirm and state on oath as under: -

1. I say that I am the Chief Engineer (System Operation) HPSEBL Vidyut Bhawan Shimla in the Appellant Company - Himachal Pradesh State Electricity Board Limited and that I competent to swear the present affidavit.
2. I say that I have read and understood the contents of the instant Rejoinder to the reply filed by Respondent No.1 in I.A. No. 1097 of 2026 and the same have been drafted under my instructions.

ATTESTED

NOTARY PUBLIC
GRAND H.P. INDIA

3. I say that the contents of the Rejoinder are based on the records maintained by the Appellant in the normal course of business, and, as such, are believed to be true by me.
4. I say that the Annexures annexed with the instant Rejoinder, if any, are true and correct copies of their respective originals.
- 5.



VERIFICATION

I, the above-named deponent, do hereby verify and state that the contents of the above Affidavit are true and correct to the best of my knowledge and belief. Nothing false has been stated therein and no material fact has been concealed therefrom.

Verified at Shimla on this 11th day of August, 2026.

Ram Lal



ATTESTED
NOTARY PUBLIC
Shimla H.P. INDIA

fore me on
day of 202 by Sh./Smt. 11/8/2026
who was identified by Sh./Smt. Shamir
The contents of the affidavit/
document were read over and explained
to the deponent/executor in vernacular
to which he/she admits the same as true
and correct at the time of making it.

Notary
Govt. of H.P.
Shimla H.P.
INDIA

Supintendent